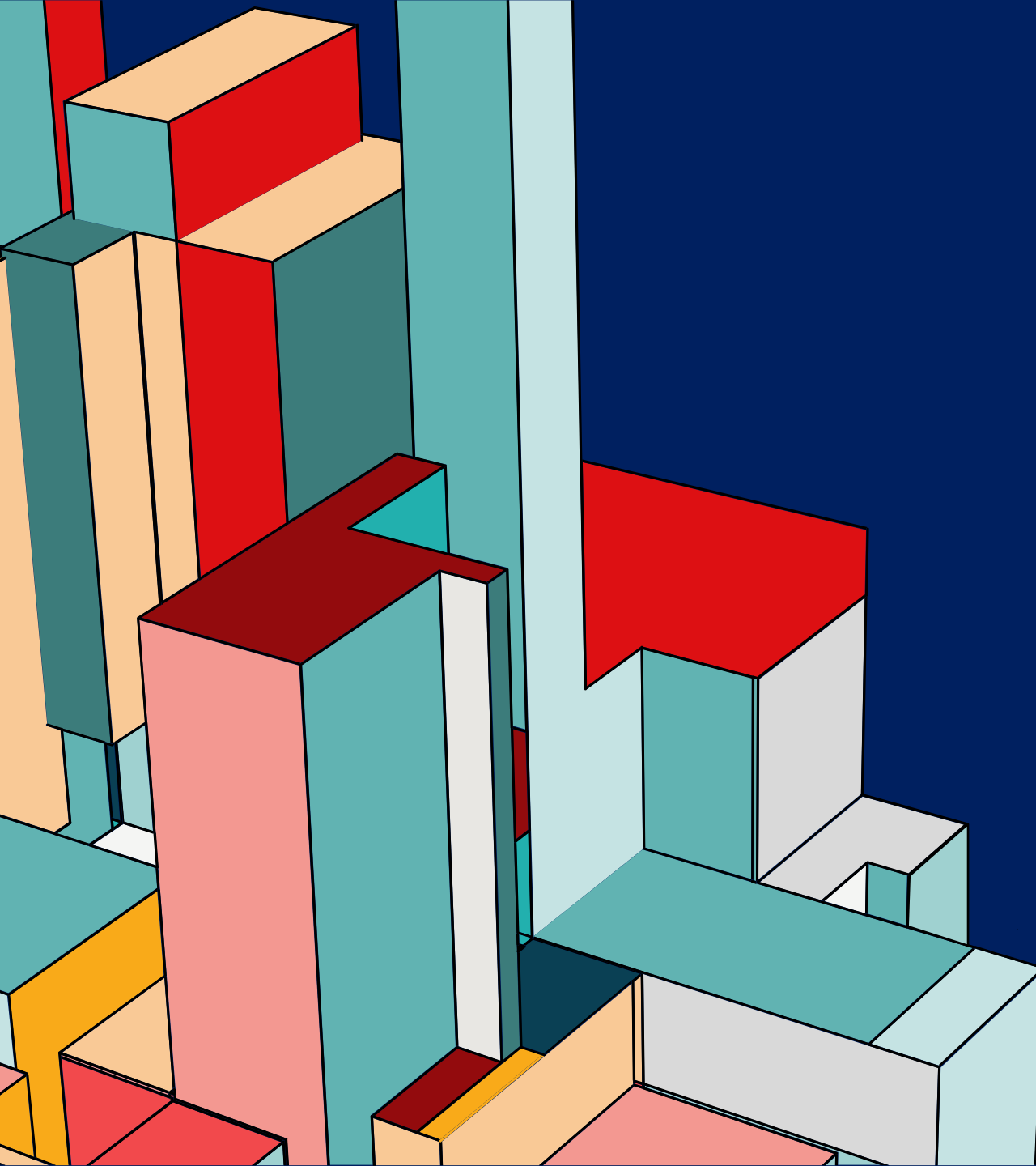


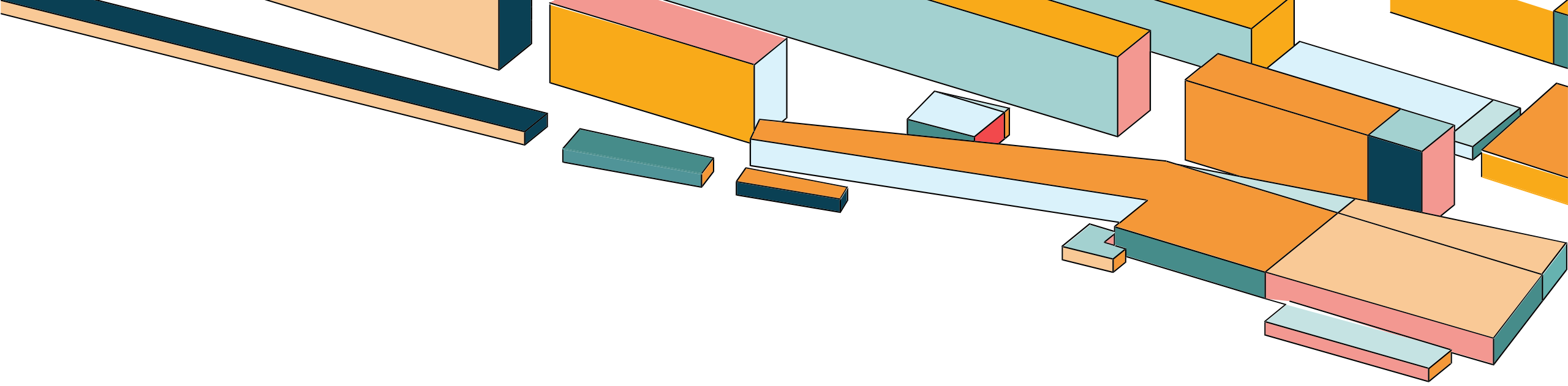


# FROM THE 1997 CONSTITUTION TO THE 2006 COUP

Chapter Six

Politics and Government of Thailand

SEPTEMBER 19, 2025



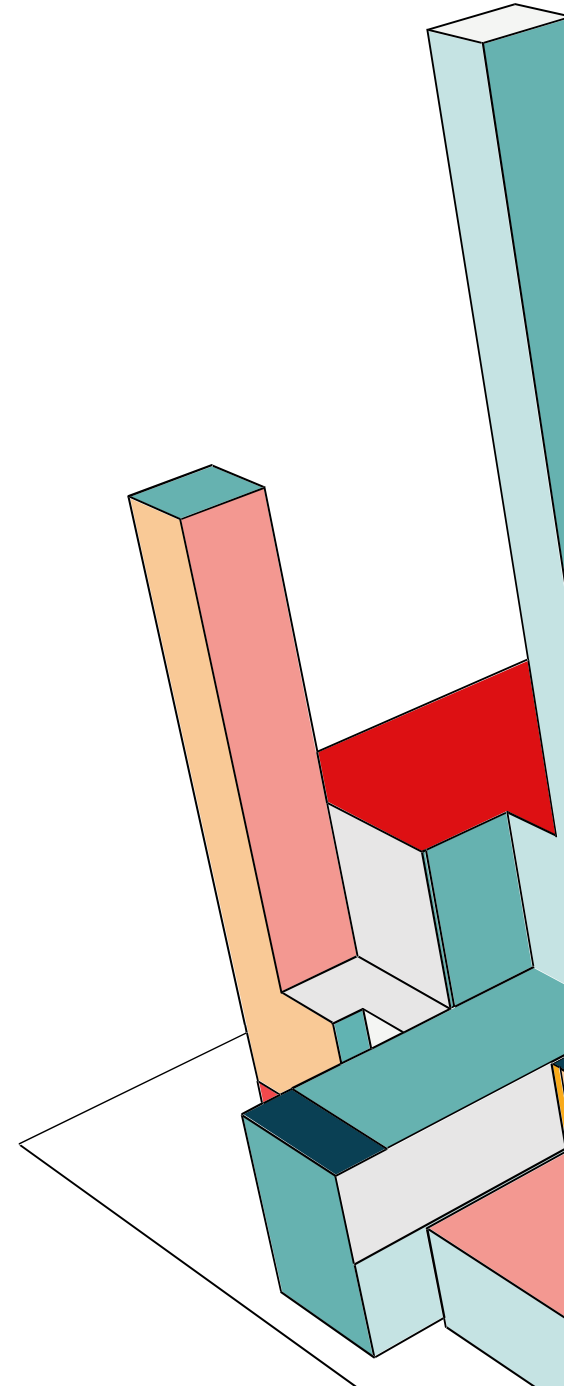
I

# **BUSINESS INFLUENCE, PARTY DOMINATION, AND THE POST-1997 POLITICAL ORDER**

The entrenchment of large business conglomerates within Thailand's party system—especially in the wake of the 1997 Asian Financial Crisis (“Tom Yum Kung” crisis) and the promulgation of the 1997 Constitution of the Kingdom of Thailand—represented the culmination of earlier patterns of business penetration into politics.

Long before 1997, individual entrepreneurs and business families had secured parliamentary representation and cultivated dynastic influence within political parties.

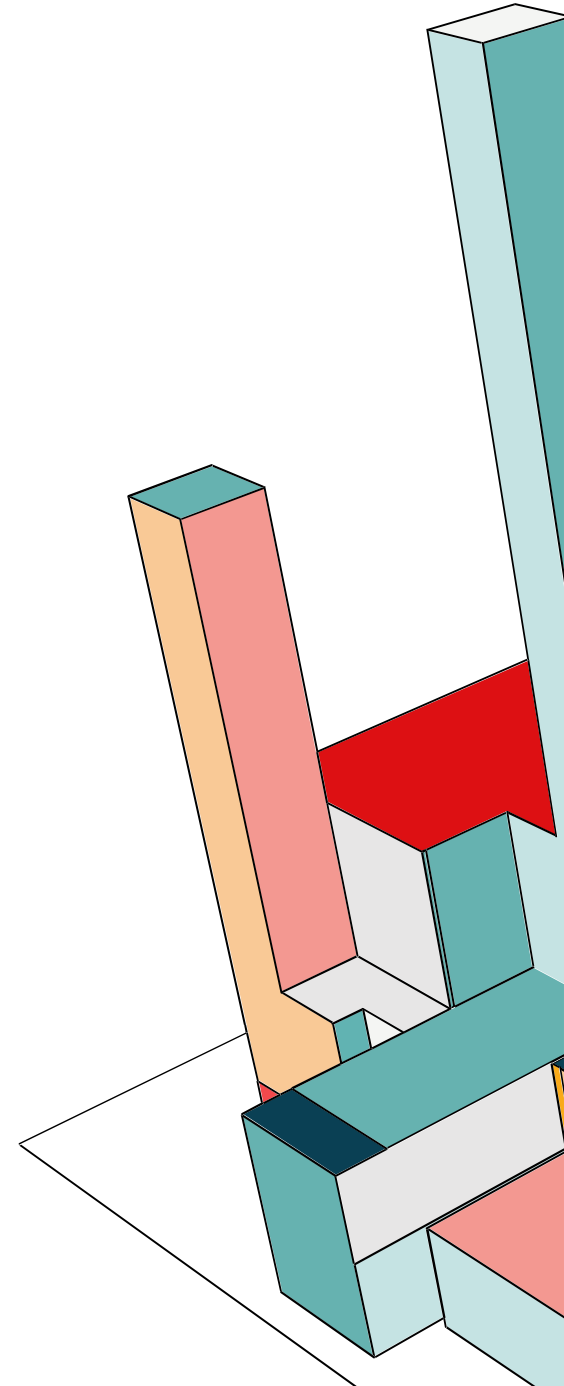
Prominent examples included Phong Sarasin, Suran Osathanugrah, Prachuap Chaiyasarn, Korn Dabbaransi, and Porntep Techapaibul, as well as business families such as the Tienthong, Hansawadi, Kraisrikul, Limphandhu, Rattakul, Chaisang, and Saphavasud clans.



The financial crisis, however, forced many business-linked politicians into retreat, as firms collapsed, declared bankruptcy, or were acquired by foreign investors who restructured operations and downsized their workforces.

By contrast, sectors such as telecommunications, real estate, and mass media demonstrated resilience and adaptability, thereby expanding their economic and political leverage.

Within this context, the telecommunications empire of Police Lieutenant Colonel Thaksin Shinawatra assumed particular prominence, with Thaksin soon entering politics directly by founding the Thai Rak Thai Party (TRT)—a development that would fundamentally reshape Thailand's political trajectory.

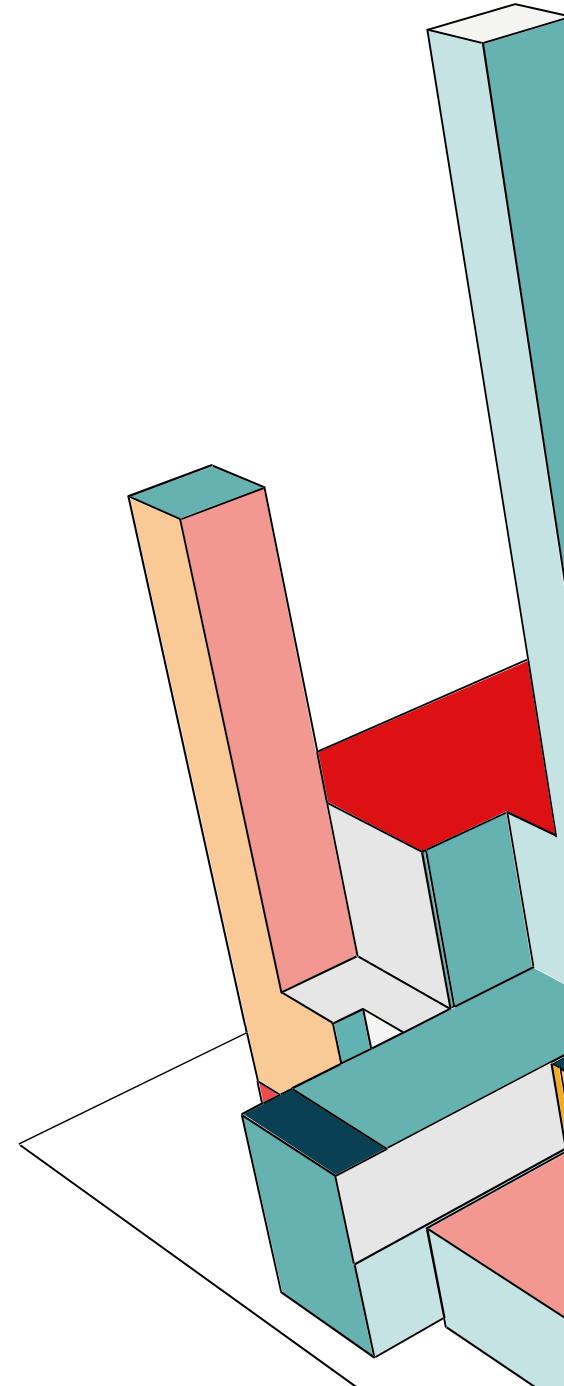


The political ascendancy of Thaksin Shinawatra and the Thai Rak Thai Party marked a watershed in Thai electoral politics.

For the first time in Thai history, a single political party won outright parliamentary majorities in two consecutive elections—the 6 January 2001 and 6 February 2005 general elections.

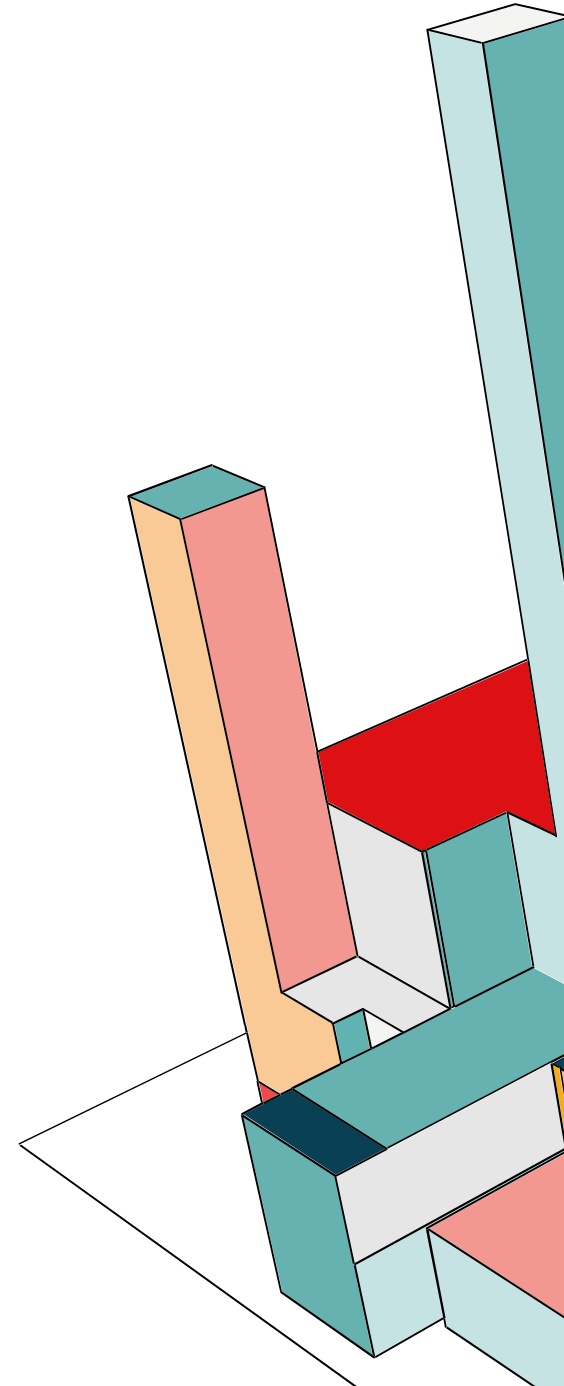
This enabled the establishment of stable governments, breaking decisively with the coalition fragility of earlier decades.

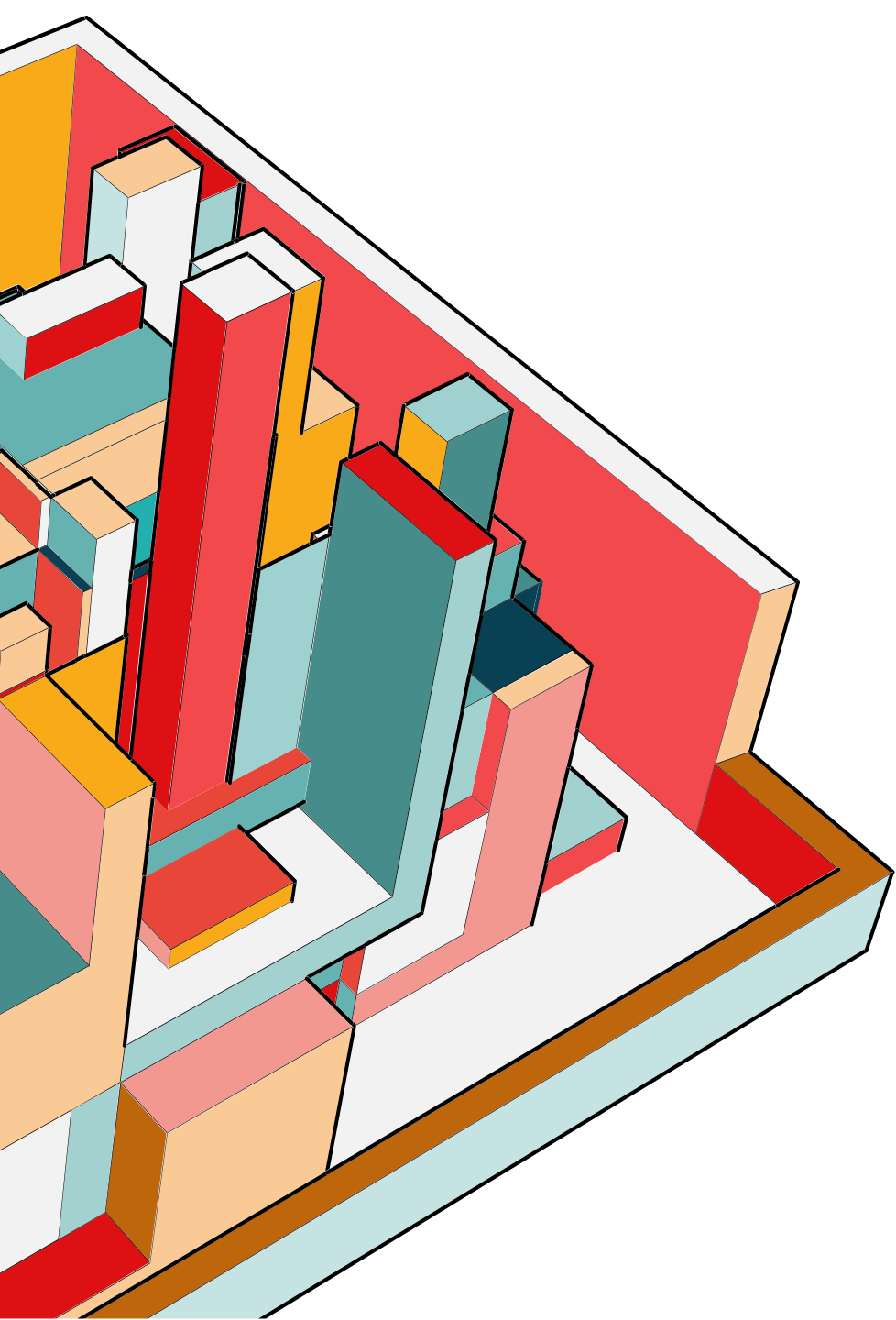
TRT's success stemmed from its cultivation of a distinctive image: one that borrowed managerial techniques from the corporate world and applied them to statecraft.



Campaign slogans such as “Think New, Act New, for All Thais” (2001) and “Four Years to Repair the Crisis, Four Years to Build a Strong Nation” (2005) positioned TRT as a modernizing force capable of guiding Thailand beyond the devastation of the 1997 financial crisis.

This strategic blend of business-style governance, populist policy innovation, and mass electoral appeal made TRT both the symbol and the instrument of the political liberalization envisioned under the 1997 Constitution—though in practice, its dominance also revealed new vulnerabilities within Thailand’s institutional framework.





## II THAKSIN THE POPULIST?

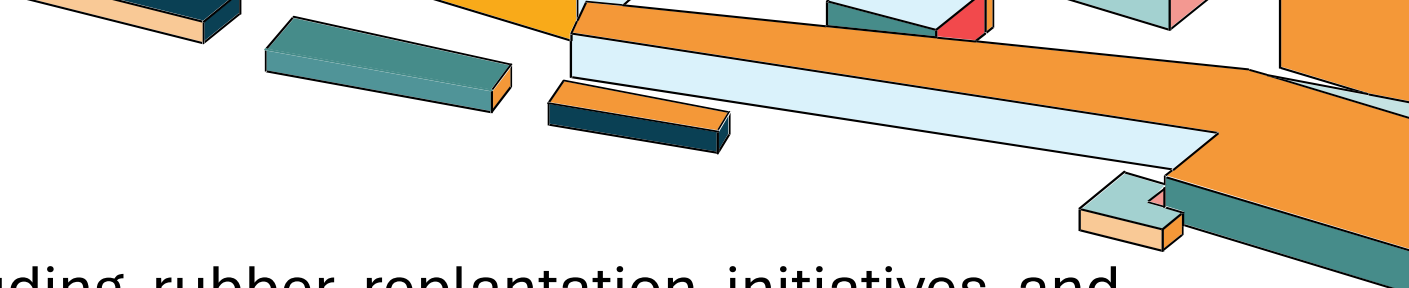


Nonetheless, Thaksin's policies attracted mounting criticism.

Detractors argued that his administration spent vast amounts of public funds without generating sustainable, long-term benefits. Instead, policies were seen as fostering consumerism, easy access to credit, and increased spending—stimulating certain business sectors more than empowering citizens.

Allegations also arose of self-serving legal amendments and regulatory decisions that favored Thaksin's own conglomerate and allied firms, such as the 2003 excise tax ordinance on telecommunications, investment incentives for Shin Satellite, and preferential treatment for AIS.





Large-scale public programs, including rubber replantation initiatives and the rice pledging scheme, were also criticized for conflicts of interest.

Economists described these practices as “policy corruption”—the use of state policy for private gain.

Yet, many of the very policies criticized as populist or clientelist—such as the 30-baht universal healthcare scheme and the Village Fund program—had tangible effects on the lives of the rural and urban poor, delivering immediate and visible benefits.

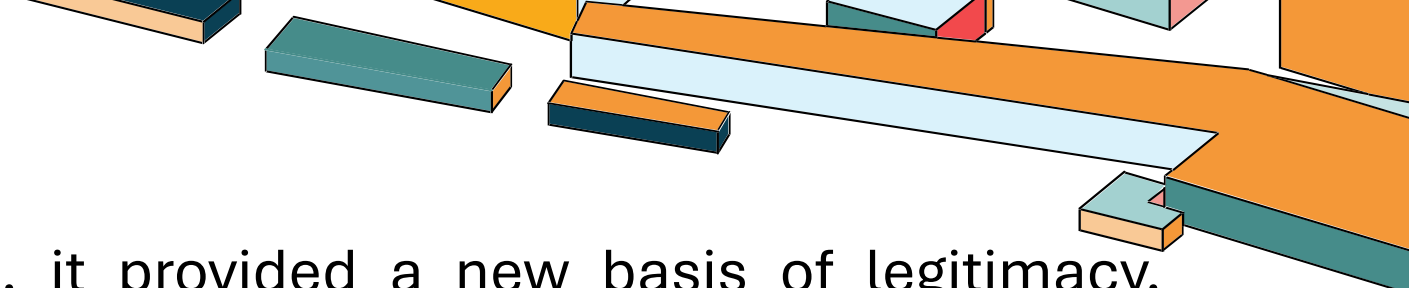
These initiatives generated overwhelming grassroots support for Thaksin and TRT, and were widely characterized as populist policies. They redefined political legitimacy in Thailand, shifting it from elite-centered bargains to mass electoral endorsement.



The rise of Thaksin Shinawatra and the Thai Rak Thai Party marked a decisive break from earlier models of Thai political leadership. Rather than depending on personal wealth or local patronage networks, Thaksin's approach centered on charismatic leadership and direct appeals to the rural poor and lower classes.

Campaigns foregrounded welfare-oriented policies—such as healthcare and village funds—that bypassed intermediaries and emphasized direct engagement with the electorate, consistently placing the people at the heart of political discourse.

This populism was neither pure socialism nor free-market capitalism but a hybrid model that used state-driven programs to deliver tangible benefits.



As a form of political marketing, it provided a new basis of legitimacy, transforming Thailand's fragmented, business-dominated party politics into what scholars term “business-dominated money politics,” where political and economic power fused. Constitutional arrangements enhancing prime ministerial authority further reinforced this system amid rapid post-crisis recovery.

These dynamics endured even after the 2006 coup and the 2007 Constitution, which sought to curb the dominance of large capital groups. Despite such reforms, the structural conditions established under Thaksin-era populism—combining business interests, populist policies, and mass electoral mobilization—remained deeply embedded in Thailand's political landscape.

# **III ELITE RESISTANCE AND THE COLLAPSE OF THE 1997 REFORM CONSENSUS**



Thaksin's growing dominance provoked resistance from traditional elites, senior bureaucrats, the judiciary, and segments of the urban middle class, who accused him of corruption, abuse of power, and disrespect for the monarchy.

Mounting protests throughout 2005–2006 culminated in the **19 September 2006 coup d'état**, staged by the **Council for Democratic Reform under the Monarchy (CDRM)**.

The CDRM annulled the results of the April 2006 general election—already invalidated by the Constitutional Court—abrogated the 1997 Constitution, dissolved Parliament, and imposed martial law nationwide.

The coup leaders justified their intervention as necessary to end political polarization, restore order, and protect the monarchy, framing Thaksin's concentration of power as a threat to the constitutional order.



Following the coup, the CDRM established an interim government under Surayud Chulanont, a retired general and Privy Councillor, and oversaw the drafting of a new constitutional framework.

This process produced the **2007 Constitution of the Kingdom of Thailand (B.E. 2550)**, the first in Thai history to be ratified by national referendum. Its institutional design aimed explicitly to weaken dominant parties and reduce the concentration of executive power: introducing mixed-member elected and recruited Senator and empowering the judiciary and independent oversight agencies.

In theory, these reforms were intended to dilute the influence of business-backed parties like Thai Rak Thai and prevent a recurrence of Thaksin-style populism.



Nevertheless, the structural environment forged under Thaksin's leadership—anchored in the integration of business interests, mass electoral mobilization, and populist welfare policies—proved deeply resilient.

Even under the new constitutional framework, electoral competition and political legitimacy continued to revolve around populist programs and direct appeals to the electorate, underscoring the enduring impact of the Thaksin era on Thailand's political trajectory.



# **RECOMMENDED FURTHER READINGS**

Phongpaichit, Pasuk, and Christopher John Baker. Thaksin: The business of politics in Thailand. Nias Press, 2004.

Panaspornprasit, Chookiat. "Thailand: Politicized Thaksinization." Southeast Asian Affairs (2004): 257-266.

Tejapira, Kasian. "Toppling Thaksin." New Left Review 39 (2006): 5.

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